A similar consideration would apply to the exhibit of Coty, Inc., in 1928. Here was a company with an excellent earnings record, but the earnings were derived from the popularity of a trade-marked line of cosmetics. This was a field in which the variable tastes of femininity could readily destroy profits as well as build them up. The inference that rapidly rising profits in previous years meant much larger profits in the future was thus especially fallacious in this case, because *by the nature of the business* a peak of popularity was likely to be reached at some not distant point, after which a substantial falling off would be, if not inevitable, at least highly probable. Some of the data appearing on the Coty exhibit are as follows:

Year	Net income	Earned per share (adjusted)
1923	$1,070,000	$0.86
1924	2,046,000	1.66
1925	2,505,000	2.02
1926	2,943,000	2.38
1927	3,341,000	2.70
1928	4,047,000	3.09
1929	4,058,000	2.73

At the high price of 82 in 1929, Coty, Inc., was selling in the market for about $120,000,000, or thirty times its *maximum* earnings. The actual investment in the business (capital and surplus) amounted to about $14,000,000.

Subsequent earnings were as shown in the following table.

Coty, Inc.

Year	Net income	Earned per share
1930	$1,318,000	$0.86
1931	991,000	0.65
1932	521,000	0.34 (low price in 1932–1½)

favorable "trend" of earnings, in part by the high recent and current earnings and in part by the reckless standards of appraisal beginning to prevail at the time.

See pp. 438–440 of the 1934 edition of this work for a companion case—The Gabriel Company.